AD-HOC OPINION · CONSUMER STAPLES

Kraft Heinz: a USD 700m bet on a volume recovery

12 November 2026 · Syz Research

Market data as of 12 November 2026.

IMPORTANT NOTICE

This document is intended only for professional and institutional clients and qualified investors. It is not a personalised recommendation. Please read the important information at the end of this document.

Kraft Heinz is investing an extra USD 700m in 2026 to revive its US retail business and accelerate abroad. Market share trends are improving, but organic sales are still falling and costs are rising.

US packaged food: volumes under pressure

After the price increases, the volume test

After several years of price increases, large US food companies face weaker volumes as consumers trade down or buy less. Many are now reinvesting in marketing, product quality and selective price cuts to win shoppers back, at the cost of lower margins in the short term.

Pruning the portfolio

Food groups are also selling slower brands to focus on their strongest ones. On 3 November 2026, Kraft Heinz agreed to sell its North American coffee business, including Maxwell House, to One Rock Capital Partners for an enterprise value of USD 650m, keeping a 30% stake. Net proceeds of about USD 500m will reduce debt.

What this means for investors

The sector offers defensive revenue but little growth, and investors now reward proof of volume recovery rather than price increases. For Kraft Heinz, the reinvestment plan is the test: if volumes stabilise, the low valuation could re-rate; if not, the share could remain a value trap.

The Kraft Heinz Company KHC US

Reinvesting heavily to bring US volumes back to growth

Market capitalisation	Organic sales, 2026 guidance	Adjusted EBITDA margin, FY2025	Extra investment, 2026
USD 28.7bn	**-0.5% to -1.25%**	**23.5%**	**USD 700m**

1. What the company does

Kraft Heinz is one of the largest US packaged food groups. Its "WIN BIG" brands, such as Heinz and Philadelphia, make up about 60% of sales; most of the rest is US retail. Emerging markets are a growing part of the business.

2. Why it could do well

The extra spending is starting to show: 31% of revenue is holding or gaining market share this year, against 21% in 2025. The WIN BIG brands are back to consumption growth, and Heinz organic sales in emerging markets rose about 16% in the third quarter. Management raised the low end of its 2026 organic sales guidance and lifted adjusted earnings per share guidance to USD 2.07 to 2.13.

3. What sets it apart

Few food groups own a global brand with the reach of Heinz, which travels well into emerging markets. The group is also reshaping its portfolio: the coffee sale removes a slower business and reduces debt, and the USD 700m investment level is planned to continue in 2027.

4. Cheap, or a value trap?

With a market value of USD 28.7bn and net debt of about USD 17.5bn, the enterprise value is around 7.9 times FY2025 adjusted EBITDA of USD 5.85bn, and leverage is about 3 times (Syz calculation). This is a low multiple for brands of this quality, but it reflects falling volumes: the share is cheap only if the investment brings volumes back.

5. Main risks

North American volumes have been falling for several years; organic sales fell 1.1% in the third quarter, and 3.2% in North America. Cost inflation is expected slightly above 5% in 2027, which would require price increases that could hurt volumes again. The USD 700m programme weighs on margins with no guaranteed return.

6. What to watch next

Fourth-quarter results and 2027 guidance: the volume trend in North America and the margin cost of the investment. Then the closing of the coffee sale, the use of proceeds and the price increases planned to offset inflation.

Conclusion

Kraft Heinz is a recovery case rather than a defensive income stock. The valuation is low and the first signs are encouraging, but the volume turnaround is not yet proven. An investor could wait for stabilising North American volumes before building a position, accepting that part of a re-rating could be missed.

Sources

- Syz Research, Bloomberg (FY2025 adjusted EBITDA); AlphaSense (market data as of 12 November 2026).
- The Kraft Heinz Company, third quarter 2026 results, 4 November 2026; second quarter 2026 results.
- The Kraft Heinz Company, sale of the North American coffee business to One Rock Capital Partners, 3 November 2026.
- Syz calculation: net debt derived from FY2025 reported EBITDA and the net debt / EBITDA ratio (AlphaSense); enterprise value = market capitalisation + net debt; EV / adjusted EBITDA. FY2025 reported EBITDA was negative because of impairments.

Important information

This communication has been issued and made available to recipients for the purpose of advertising investment services and/or financial instruments. It has been sent for information purposes and cannot be considered as an offer or a personalised recommendation to buy or sell a financial instrument or any other investment or currency. This communication does not constitute investment research within the meaning of regulatory rules applicable in the European Economic Area, or research under the rules of the U.S. Self-Regulatory Organizations.

This information is made solely for professional and institutional clients as defined by the Swiss Financial Services Act, as well as qualified investors according to the Swiss Collective Investment Schemes Act. It is not intended for retail clients or non-qualified investors and consequently cannot be transmitted to any third party.

This communication is not directed to any person in any jurisdiction where, by reason of that person's nationality, residence or otherwise, its dissemination or use is prohibited. It cannot be quoted, reproduced, disclosed, distributed or otherwise referred to, in whole or in part, to any third party without the Bank's prior written consent.

This communication may contain information on past performances of a financial product, all kinds of economic and financial valuations and analyses, as well as opinions of the Bank or of third parties. Any market valuations, terms and calculation methods, yields and opinions expressed are subject to change without notice. The information and opinions contained herein have been compiled and provided in good faith, based on information obtained from sources believed to be trustworthy. However, such information has not been independently verified. No guarantee, representation, or warranty of any kind, whether express or implied, is provided by the Bank or by relevant data vendors and other sources with respect to the accuracy, reliability, currentness or exhaustiveness of the information communicated, the methodology employed or the prices contained herein.

Past performance is not a reliable indicator of current or future results. Any reference to the past performance of an investment does not guarantee its future performance. Fluctuations in exchange rates may adversely affect the value, price or income of any investment.

Nothing in the present communication constitutes investment, legal, accounting or tax advice. This information is purely objective since it does not take into consideration the personal situation (including financial knowledge and experience), the investment objectives and risk profile of any recipient. Moreover, certain financial instruments mentioned (in particular, but not exclusively, derivatives, options and futures) involve a high risk of loss and may not be suitable. Accordingly, recipients should consult their own advisors on such matters, including but not limited to the possible tax consequences of investing in any financial product mentioned herein, and make their own assessment of the suitability of such investment product.

Should a recipient make an investment on the basis of the present communication, the recipient alone shall bear the consequences thereof. In no event shall the Bank, its directors, employees, affiliates or agents be held responsible for damages of any kind arising out of the use of all or part of the information provided herein.